

APPENDIX 2 - Summary of 2015 Procurement and Contracting Legislation

Attorney-Client Communication

For Discussion Purposes Only

Summary of Procurement and Contracting Legislation

SB 20

1. Conditional Authority for Institutions of Higher Education (IHE) to continue to use “Best Value” purchasing granted [§23]:

- Requires governing boards to have rules and policies on ethics, conflicts of interest, internal audit, training, contract review, and delegation
- Only requirement not currently met is establishing a *Contract Management Handbook* by rule
- State Auditor, in consultation with Comptroller, can suspend Best Value authority for non-compliance

2. Conflicts of Interest [§18]:

- Institutions (including System) may **not** enter into contracts if governing official (Chancellor, President), general counsel, chief procurement officer or procurement director (or their family members within second degree of consanguinity)
 - Owns a 1% interest in the vendor (other than through blind trust, retirement plan, insurance coverage)
 - Or could financially benefit

Note: System attorneys advise that Regental conflicts will continue to be controlled by and reviewed under Ed. Code §51.923 (if contract is required to come before BOR for approval, the conflicted Regent must disclose and recuse), although this is subject to continued discussion at the Board level.

3. Internet posting of contracts [§18]:

- All contracts (and purchase orders) for purchase of goods or services from a private vendor
 - If not competitively bid, add statutory authority used (e.g., §51.9335—“Best Value”)
- RFPs if competitively bid, until contract expires
- Contracts less than \$15,000 may be posted monthly (implies more frequent posting if >\$15,000)

Note: Plan is to build on Purchase and Contract Transparency Report, posting same summary information that is posted in current Transparency Report; full documents available through TPIA request.

4. *Contract Management Handbook* (will need to be required by Regents’ Rule) [§23]:

- Consistent with Comptroller’s contract management guide

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